

Tax

Executive Summary

A tax system that serves people, whenua, and mokopuna.

For decades, the tax system in Aotearoa has privileged wealth over work, property over people, and extraction over care. Māori have borne the cost of this imbalance through low wages, insecure housing, underfunded services, and intergenerational poverty, while those with the greatest means contribute the least.

The tax system reflects whose lives are protected, whose labour is valued, and whose wealth is allowed to accumulate unchecked. A fair tax system must uphold mana, strengthen whānau wellbeing, and restore balance through the just redistribution of resources.

Te Pāti Māori will redesign our tax system to serve people, whenua, and mokopuna. This document sets out what we will do, who it helps, and what it raises.

Our plan at a glance

Every component of our Tax Policy has been modelled using the best available Government data and, where appropriate, benchmarked against Treasury and Parliamentary Service analysis.

Our transformational Tax Policy will reduce income tax for 97% of people in Aotearoa, delivering significant relief for those who work for a living, while rebalancing the tax system so that those who have accumulated the greatest wealth contribute their fair share.

Together, these reforms create a fairer and more progressive tax system – one that puts more money back into the pockets of whānau, reduces inequality, and ensures everyone contributes fairly to the future of Aotearoa.

Tax Policy Component	Details	Estimated Fiscal Impact
Transform the Income Tax System	Change our Income Tax system to the below:	
• Remove tax for people earning up to $30,000 per year. *Benefits 1.9 million people* • Major decrease in tax for people earning up to $60,000 per year. *Benefits 1.1 million people* • Less tax for 97% of people (4.5 million people). • 90% of Aotearoa (4.2 million people) will receive, on average, an additional $4,000 per year.	$0 to $30,000 **0%** $30,001 to $60,000 **15%** $60,001 to $90,000 **33%** $90,001 to $180,000 **39%** $180,001 to $300,000 **42%** $300,001 and over **48%**	**$13.9 billion** ▼
'No GST on Kai'		
• Equivalent to 8 weeks of kai. • Benefits 64% of people (3 million people).	This is a targeted tax rebate for people earning $60,000 or less.	**$2.8 billion** ▼
Implement a Targeted Wealth Tax	Introduce a (Net) Wealth Tax as below:	
• Excludes $2,000,000 per person (this has no impact on 97% of people). • Targets high-wealth individuals (only 3% of people) with an average net wealth of $6m each.	$0 to $2,000,000 **0%** $2,000,000 to $5,000,000 **1.5%** $5,000,000 to $10,000,000 **2.0%** $10,000,000 and over **2.5%**	**$8.8 billion** ▲
Reset the Company Tax Rate	Return the company tax from **28%** back to **33%.**	**$3.4 billion** ▲
Introduce an International Profit Transfer Tax	Introduce an International Profit Transfer Tax with a rate of **5%** on the value of profits transferred offshore.	**$1.0 billion** ▲
Introduce a Land Banking Tax	Implement a Land Banking Tax of **33%.**	**$2.8 billion** ▲
Introduce a Vacant House Tax	Implement a Vacant House Tax of **2%.**	**$1.7 billion** ▲
Introduce Stamp Duty	Implement a Stamp Duty of **5%** on Residential Sales, excluding first home buyers for homes under $1 million.	**$2.1 billion** ▲
Reduce Fraud and Tax Evasion	Increase investment by **$1 billion** into the Inland Revenue Department, the Serious Fraud Office, the Financial Markets Authority and the NZ Financial Intelligence Unit.	**$1.0 billion** ▲
		$4.1 billion ▲

Context

Aotearoa has one of the most unequal tax systems in the OECD. Income from wages is taxed more heavily than income from wealth, while property speculation remains largely untaxed.

Māori are over-represented among low-income earners and under-represented among asset owners, meaning we pay proportionately more tax while receiving fewer benefits from the system. At the same time, under-investment in public services has placed pressure on whānau to absorb costs that should be collectively carried, from healthcare and housing to education, transport, and care.

The current system rewards accumulation without contribution, allowing extreme wealth to grow detached from social responsibility. This undermines social cohesion and breaches the Crown's obligations to equity and fairness.

Tax reform is essential to restoring balance and enabling the Crown to meet its responsibilities to Tangata Whenua, and all people who call this whenua home.

Te Pāti Māori will...

1. Transform the Income Tax System

- Remove tax for the first $30,000.
- Less tax for 97% of people (4.5 million people).
- 90% of Aotearoa (4.2 million people) will receive, on average, an additional $4,000 per year.
- Introduce additional higher tax brackets for high-income earners to ensure those with the greatest means contribute fairly.

2. Remove GST Costs from Kai

- For people earning less than $60,000, we provide an Income Tax Kai Credit worth up to eight weeks of free kai each year.
- Benefits 64% of Aotearoa (3 million people).

3. Implement a Targeted Wealth Tax

- Implement a net wealth tax on the wealthiest individuals to address extreme inequality and fund essential public services.
- Excludes all people with less than $2 million in net assets.
- Targets high-wealth individuals (only 3% of people) with an average net wealth of $6m each.

4. Ensure Corporate Tax Fairness

- Return the company tax from 28% back to 33%.
- Introduce an International Profit Transfer Tax with a rate of 5% on the value of profits transferred offshore.
- Eliminate aggressive tax avoidance practices through a $1 billion investment into the Inland Revenue Department, the Serious Fraud Office, the Financial Markets Authority and the NZ Financial Intelligence Unit.

5. End Property Speculation

- Implement a Land Banking Tax of 33% discourage land banking and support the productive use of land.
- Implement a Vacant House Tax of 2% to free up the 111,700 empty homes across Aotearoa.
- Implement a Stamp Duty of 5% on Residential Sales, excluding first home buyers for homes under $1 million.

6. Guarantee Environmental and Climate Alignment

- Align tax policy with climate responsibilities by incentivising low-emissions activity and discouraging environmental harm.
- Ensure any environmental taxes are designed to protect low-income households and do not transfer disproportionate costs onto whānau.

Our Commitment

Te Pāti Māori is committed to a tax system that restores fairness, funds public good, and supports whānau to live with dignity.

Revenue raised through progressive taxation will be directed toward housing, health, education, climate resilience, and Kaupapa Māori solutions that strengthen collective wellbeing.

A fair tax system is not only the foundation of a fair society; it is the price of civil society. Our commitment is to ensure that the economy serves people, not the other way around.